

Peer Review Report: Executive Summary

Fast-track peer review on [a CASP] authorisation and supervision in Malta

Executive Summary

The Markets in Crypto-Assets Regulation (MiCA), that came into force on 29 June 2024, is a major milestone in the EU's approach to regulating digital assets. MiCA sets a new comprehensive EU regulatory framework for crypto assets across the EU that aims to create a unified legal framework that allows for consistency in the regulatory approach related to Crypto Asset Service Providers (CASPs).

MiCA also introduces a common authorisation approach that all NCAs need to follow. From January 2025, CASPs must apply for an authorisation to operate within the EU. A grandfathering period of up to 18 months (i.e. until 30 June 2026) allows existing crypto assets providers, that provided their services in accordance with applicable law before 30 December 2024, to continue operating until authorised under MiCA. By applying the option to shorten the transitional regime under MiCA, NCAs have ended-up with different grandfathering periods creating different timelines as to when CASPs need to be authorised in their respective jurisdictions.

MiCA is the first legislation in the world that sets a comprehensive regulatory framework in the crypto space. This dynamic and rapidly evolving field requires consistent and robust approaches across NCAs to ensure that a convergent approach applies from the outset.

Currently most NCAs are in the process of authorising CASPs. It is critical to foster trust in this sector that bears high inherent risks. Therefore, the authorisation process should be considered as the gatekeeper that enables NCAs to properly assess that CASP applications are compliant with the regulatory requirements, including that key risks of the CASP business model are effectively mitigated.

A specificity of this sector is that the most prevailing business model is a single entity hub in Europe providing crypto services, through a passport, to the entire EU single market, while the main client base is not necessarily in the home NCA. The single market is important to broaden investors' opportunities, and needs as a pre-requisite strong supervision of products and services provided on a cross-border basis. This is another reason why CASP authorisation is of paramount importance to ensure that investors in any jurisdiction across the EU will be given the adequate level of protection, regardless of the jurisdiction of the origin of the CASP offering these services.

Another ramification of this business model is the need to build trust among NCAs that the actions and decisions taken by the home NCA foster a unified capital market that will increase investor protection. NCAs will interchange the role of home and host NCA, so ensuring a sound supervisory framework is beneficial to all. Therefore, all NCAs have a role

to play and can benefit from each other's reinforced supervisory practices for the supervision of the cross-border activities of CASPs.

In December 2024, the Board of Supervisors (BoS) agreed on the adoption of a coordinated approach for CASPs authorisations, through (i) the adoption of a supervisory briefing on the Authorisation of Crypto Asset Service Providers (CASPs) under MiCA and (ii) discussions of key CASPs authorisation cases - prior to granting the authorisation - submitted to NCAs in the dedicated ESMA Group, the Digital Finance Standing Committee (DFSC).

Following a series of events, the BoS of ESMA decided, in April 2025, to launch a peer review on the authorisation and early supervision of a CASP by the [Malta Financial Services Authority](#) (MFSA). Although the peer review targeted one NCA, still, it aims to foster supervisory convergence and improve the supervisory practices of all NCAs, at a time when consistency across NCAs in authorisation and setting supervisory expectations is key.

The peer review was carried out based on ESMA's Peer Review Methodology (the Methodology) by an ad hoc Peer Review Committee (PRC) following the approach foreseen for fast-track peer reviews.

Assessment areas

The peer review covered:

- (i) The MFSA's authorisation process of the CASP entity and whether MFSA adequately assessed that the CASP entity met the requirements for authorisation (including in terms of shareholders structure and governance, group structure and reliance on intragroup entities and services, including IT systems), notably with regards to risks from the functioning of the [...] booking model, the adequacy of the use of Web3 products, potential conflicts of interests, enforcement processes, the entity's ability to comply with AML/CFT/Sanctions requirements,
- (ii) the supervisory review and use of adequate powers by MFSA on the CASP entity in reaction to events that happened to the entity following its authorisation, including as to whether it still met the conditions for its authorisation, and
- (iii) the overall adequacy of the supervisory set-up and resources of the MFSA to carry-out the above.

Through the assessment of documents submitted by the relevant Maltese authorities and the on-site visit, the peer review assessed MFSA against the supervisory expectations in these areas as set out in the peer review mandate.

Overall findings

The PRC observed that MFSA has built a good level of expertise in this sector and has sufficient supervisory resources for CASP authorisations and supervision. However, this is still an evolving landscape and MFSA needs to monitor closely the growth in authorisation applications and supervised entities and identify in a timely manner any need to scale up or adjust supervisory practices.

On the authorisation process of the CASP entity, the PRC questions the timing of the authorisation of the specific entity under MiCA given that several material issues remained unresolved at the time of the authorisation. It is unclear to the PRC, why MFSA did not leverage on the authorisation process to ensure that the entity would remedy key deficiencies before the authorisation would be effective. The PRC is of the view that the overall authorisation process should have been more thorough and conducted on a sufficient time to allow MFSA to properly assess compliance against the MiCA framework.

Any NCA should consider the supervisory history of an entity when assessing a request for authorisation. The PRC acknowledges that no authorisation is completely free of risk and some non-material risks or issues could be addressed through the on-going supervision. In this case, the PRC is of the view that the supervisory history of the entity formed part of the authorisation assessment, but it was not adequately considered. The PRC acknowledges that MFSA actively engaged on multiple occasions and on several topics with the entity under the previous national regime, which allowed MFSA to obtain good knowledge of the entity's functioning. However, material issues remained unresolved or pending remediation at the time of the authorisation, including the remediation of previous enforcement cases and the outcome of (at the time) pending ones.

The PRC did not find evidence that certain key aspects of the authorisation file were adequately assessed including (i) aspects of its business plan related to its growth and the on-boarding of new clients, (ii) potential conflicts of interest (iii) governance arrangements (iv) risks related to the ICT infrastructure, custody, use of the [...] booking model, use of Web3 services and (v) certain AML/CFT risks and controls.

Finally, on the supervisory response of the MFSA following certain events, the MFSA's supervisory response appears largely appropriate and proportionate. However, the PRC considers that some of the measures could have already been considered as part of the authorisation process.

Overall assessment

The table below summarises the PRC's assessment of the MFSA in each assessment area based on the Methodology's benchmarks.

Supervisory settings and resources	
The authorisation process	
The supervisory review and use of adequate powers	

Fully meeting expectations	Largely meeting expectations	Partially meeting expectations	Not meeting expectations
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Recommendations

There are specific recommendations in the report that are addressed to MFSA. These are mainly related to the findings of the PRC relevant to the authorisation of the specific CASP. The PRC recommends that the MFSA assesses material issues that either were still pending at the date of the authorisation or that have not been adequately considered at the authorisation stage.

However, several recommendations are relevant to all NCAs in their ongoing / upcoming CASP authorisations. The PRC encourages NCAs to regularly share through the DFSC or other relevant EU level Standing Committees the key risks and mitigations for key CASPs under their supervision. NCAs are encouraged to make use of experiences and guidance shared through the DFSC to inform their authorisation decisions thus fostering a convergent approach. The PRC did not provide any recommendations on policy issues where discussions are still on-going at the DFSC level such as the [...] booking model and custody but strongly encourages NCAs to continue such discussions.

Due to the novelty and nature of these type of entities as well as the inherent risks of their business model, the PRC recommends to all NCAs, currently in the process of authorising CASPs, to pay particular attention to certain aspects of the authorisation, related to:

(i) business growth where it is important to keep up with adequacy of resources, approaches and systems. The PRC recommends to NCAs to assess entities' business plans in a forward-looking manner, notably to consider the expected business growth and the underlying risks. The PRC encourages NCAs to make use of the DFSC to keep sharing information on their supervisory settings, resources and tools for CASPs supervision, so to help them identify the appropriate level of resources and build efficient supervisory models.

(ii) Conflicts of Interests including those related to the combination of CASPs services and the related disclosure requirements,

(iii) governance and intragroup arrangements. Particularly, for the supervision of the intragroup arrangements, the PRC encourages NCAs to use as baseline the cross-cutting principles on third-party risks supervision that ESMA has recently published,

(iv) ICT architecture including intragroup reliance and use of sub-providers. Given it is essential for a CASP's business to have resilient IT systems, the PRC recommends that, before granting an authorisation, NCAs review the ICT systems (including business continuity) in light of DORA requirements. Higher scrutiny should be given to the functions and services that are most critical to the CASP business (e.g. custody).

The PRC also highlights the high importance of ICT security for CASPs which encompasses the capacity of the entity to appropriately and effectively react in case of a hack. The PRC considers that NCAs should ensure, as part of the authorisation assessment, that the entity has adequate measures in place to efficiently and effectively block malicious transactions if needed.

(v) Web3 and decentralised products, including the promotion of unregulated services. The PRC recommends that NCAs adequately assess the inherent exposure to DeFi risks and that adequate controls are put in place to manage them. NCAs should also evaluate the promotion of any unregulated services, including on whether the way they are presented to customers might create confusion on these services appearing as being possibly regulated.

As gate keepers of the EU single market and given the hub business model in the crypto space, the PRC recommends NCAs to further reflect on how EU investors can be equally considered, wherever they are in the EU, and are able to apply their rights under this legal framework. NCAs should also carefully consider the impact this may have on their own resources and need to coordinate with other EU supervisors to consider their needs, views and intelligence (e.g. complaints), as well as to adequately cooperate with them.

The PRC encourages NCAs to review, as part of the authorisation assessment, user interfaces and customer journeys to ensure that relevant risk warnings are clearly presented to users and that the overall customer experience is in line with MiCA requirements.

Finally, this cross-border model requires NCAs to build high quality supervisory approaches promoting effective cooperation and intensive convergence work.

Good practices

The PRC positively regards the pro-activeness of MFSA to recruit and build a pool of supervisors with expertise on crypto services by (i) having targeted and active engagement with local universities, (ii) providing high number of trainings and (iii) having active cooperation with other relevant authorities. The PRC also positively regards the pro-active outreach of the MFSA to the industry to encourage early preparation for MiCA transition and to communicate expectations in a timely manner.

Annex - Statement from MFSA

MFSA Welcomes ESMA Peer View on CASP Authorisation and Supervision

The Malta Financial Services Authority (MFSA) welcomes the publication of the European Securities and Markets Authority (ESMA) Peer Review on CASP Authorisation and Supervision and its overall findings that Malta is fully meeting expectations with regards to supervisory settings and resources, largely meeting expectations with regards to supervisory reviews and use of adequate powers in relation to the recently introduced Markets in Crypto-Assets Regulation (MiCA) as well as partially meeting expectations in the authorisation process.

The insights provided in the review are invaluable in supporting the MFSA's continued efforts to improve and strengthen its performance in the supervision of this sector, and the MFSA commends the Peer Review Committee (PRC) (composed of staff from ESMA, European Banking Authority (EBA) and National Competent Authorities (NCAs)) for their professional and rigorous approach, executed under very tight timelines. Transparency and cooperation are core to our philosophy, and we believe that by working closely with ESMA and our peers, we can enhance convergence and strengthen our collective supervisory efforts.

The report affirms that the MFSA possesses the necessary resources, expertise, and knowledge to carry out effective authorisation, supervision, and enforcement within this sector. Malta established itself as an early regulatory adopter with respect to crypto assets back in 2018 when it introduced the Virtual Financial Assets (VFA) framework. MFSA is proud of its track record during this time and the report highlights several good practices identified during the review such as the MFSA's active engagement with local universities and nurturing of young professionals, the high number of trainings delivered to staff on key technical issues, and the active cooperation between prudential and Anti-Money Laundering (AML) authorities, as well as with various international supervisory, intelligence and law enforcement authorities and counterparts.

While the report recognises MFSA's capabilities, it also highlights opportunities where we can further enhance our processes, as well as making recommendations for National Competent Authorities (NCAs) across the EU. We view this as an opportunity to reinforce our processes and procedures with respect to this innovative sector and the MFSA and FIAU are onboarding the recommendations as provided by the review to ensure that Malta strengthens the robustness of its supervisory framework in this field.

The MFSA respects the views of the PRC and accepts the findings of the report, while recognising that NCAs across the EU are currently navigating effective implementation of the MiCA regulations in their relevant jurisdictions.

We thank ESMA, the EBA and National Competent Authorities for their constructive engagement and support during this process and look forward to continuing to work together to improve and enhance authorisation and supervision processes for digital assets both in Malta and across the EU.